

Learning Guide Unit 2

Reading Assignment

As you go through the readings and watch the videos, consider the following:

1. How do explicit and implicit costs affect a firm's economic profit?
2. How do firms in perfect competition determine output and pricing?
3. What barriers to entry create monopolies, and how do they impact markets?
4. How do antitrust laws prevent monopolies and promote competition?
5. What challenges exist in enforcing antitrust laws, especially in the digital economy?

Read

1. Greenlaw, S., Shapiro, D., & MacDonald, D. (2022). *Principles of Economics* (3e ed.). <https://openstax.org/books/principles-economics-3e/pages/1-introduction>

- Read Chapter 7: [Production, Costs and Industry Structure](#)

- Section 7.1 – [Explicit and Implicit Costs, and Accounting and Economic Profit](#)
- Section 7.2 - [Production in the Short Run](#)
- Section 7.3 - [Costs in the Short Run](#)
- Section 7.4 - [Production in the Long Run](#)
- Section 7.5 - [Costs in the Long Run](#)
- **Section 7.1** discusses explicit and implicit costs and their impact on accounting and economic profit. Explicit costs are direct payments, while implicit costs reflect lost opportunities. By the end of this section, you will be able to distinguish between these costs and understand how they impact a firm's total cost, revenue, and overall profitability.
- **Section 7.2** explains how production functions relate inputs to outputs. It differentiates between fixed inputs and variable inputs, noting that production is limited by fixed inputs in the short run. It introduces marginal product (MP), the additional output from one more unit of input, and the Law of Diminishing Marginal Product, where adding more labor eventually leads to smaller increases in output due to fixed capital.
- **Section 7.3** explains how production costs relate to input quantities and factor prices, and introduces key concepts like average cost, marginal cost, fixed and variable costs. It also covers how to analyze costs to determine potential profit and demonstrates the calculations with examples.
- **Section 7.4** compares short-run and long-run production, explaining that in the long run, all factors are variable, unlike the short run where capital is fixed. It uses a typing firm example to illustrate how adding labor affects output and highlights diminishing marginal returns when capital is limited.
- **Section 7.5** discusses long-run costs, focusing on how firms choose cost-minimizing production technologies. It explains economies of scale, the long-run average cost curve, and cost efficiency in decision-making.

- Read Chapter 8: [Perfect Competition](#)

- Section 8.1: [Perfect Competition and Why It Matters](#)
- Section 8.2: [How Perfectly Competitive Firms Make Output Decisions](#)
- Section 8.3: [Entry and Exit Decisions in the Long Run](#)
- Section 8.4: [Efficiency in Perfectly Competitive Markets](#)
- **Section 8.1** explains that perfectly competitive firms sell identical products, are price takers, and face free market entry and exit. In the short run, they maximize profit or minimize loss, while in the long run, competition drives profits to zero, leading to market equilibrium.
- **Section 8.2** covers how firms calculate profit by comparing total revenue and total cost, using the average cost curve  to identify profits and losses. It explains the shutdown point—the price below which a firm should temporarily stop

production—and determines the conditions under which a firm should continue operating in the short run.

- **Section 8.3** explains how entry and exit in competitive markets drive profits to zero in the long run. Firms enter when profits exist, increasing supply and lowering prices, while firms exit during losses, reducing supply and raising prices. This process continues until firms break even. Industries adjust differently: constant-cost (unchanged costs), increasing-cost (rising costs), or decreasing-cost (falling costs), shaping long-run market equilibrium.
- **Section 8.4** explains that perfectly competitive markets achieve productive efficiency by minimizing costs and allocative efficiency by equating price and marginal cost. While this serves as a benchmark, real-world markets often deviate due to monopolies, externalities, and income disparities. The shift from wheat to corn in North Dakota illustrates how price changes drive efficient production decisions.

◦ Read Chapter 9: [Monopoly](#)

- Section 9.1: [How Monopolies Form: Barriers to Entry](#)
- Section 9.2: [How a Profit-Maximizing Monopoly Chooses Output and Price](#)
- **Section 9.1** explains how monopolies emerge from barriers to entry, including economies of scale, control over resources, and government regulations, leading to limited competition and higher profits. It also highlights the role of intellectual property laws, such as patents and copyrights, in encouraging innovation by granting exclusive rights to creators.
- **Section 9.2** explains how monopolies set their profit-maximizing output and price by analyzing the demand curve, total revenue, and marginal revenue, where the optimal quantity occurs when marginal revenue equals marginal cost. It also discusses how monopolists maximize profits compared to perfectly competitive firms, highlighting differences in perceived demand curves.

2. Spulber, D. F. (2022). *Antitrust and innovation competition*. Journal of Antitrust Enforcement, 11(1), 5–50.

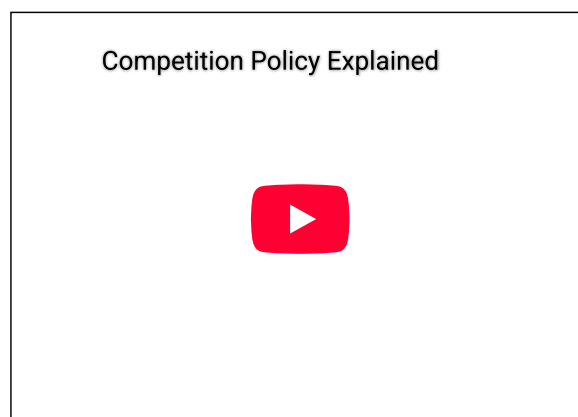
<https://doi.org/10.1093/jaenfo/jnac013> license by CC 4.0

- This article examines how innovation has transformed competition across various sectors, highlighting the need for antitrust policymakers to update their economic frameworks to address non-price aspects and the role of intellectual property in innovation competition. Engaging with this article will enhance your understanding of how antitrust policies must evolve to prevent monopolistic behavior and promote market competition in the context of innovation.

Watch

1. *Centre for International Governance Innovation*. (2022, May 25). Competition policy explained [Video]. YouTube.

- This video explains competition laws in preventing monopolies, restrictive practices, and anti-competitive mergers. It highlights challenges in the digital economy and the need for updated regulations to protect consumers and ensure fair competition.



Additional Readings

1. Tirole, J. (2024). *Competition and industrial policy in the 21st century*. Oxford Open Economics, 3(Supplement_1), i983–i1001.

<https://doi.org/10.1093/ooec/odad080> license by CC 4.0

- This article explores how large fixed costs and network externalities create barriers to entry in the digital industry, leading to potential market dominance and reduced competition. It discusses regulatory adaptations and policy reforms to address these

challenges while balancing economic efficiency and fairness.

2. Munir, S., Kollnig, K., Shuba, A., & Shafiq, Z. (2024, April 4). *Google's Chrome antitrust paradox*. arXiv.org. <https://arxiv.org/abs/2406.11856> license by CC 4.0

- This article explores Google's dominance in the browser market through Chrome and examines how this dominance reinforces its power in online advertising and publishing. The article discusses regulatory policies, antitrust cases, and competition laws, providing insights into preventing monopolistic behavior and promoting market competition. This reading complements the learning outcomes focused on understanding the role of regulatory policies, identifying antitrust cases, and evaluating competition laws.

3. Eshbayev, O., Rakhimova, S., Mirzaliev, S., Mulladjanova, N., Alimxodjaeva, N., Akhmedova, D., & Akbarova, B. (2022). *A systematic mapping study of effective regulations and policies against digital monopolies: visualizing the recent status of anti-monopoly research areas in the digital economy*. ACM Digital Library, 16–22. <https://doi.org/10.1145/3584202.3584205> license by CC 4.0

- This article provides an overview of research areas related to anti-monopoly aspects of the digital economy, highlighting challenges policymakers face in regulating digital markets to prevent monopolies and promote healthy competition. It classifies current research into areas such as big data, artificial intelligence, platform economy, digital trade, financial technology, sustainability, and human welfare, identifying emerging trends and gaps in regulations against digital monopolies.